

California Tax-Exempt Income — Tech/AI Credit-Insulated

Sample tearsheet · a CA muni strategy screened on (1) creditworthiness [R/f(M)] and (2) tech/AI income-channel insulation · Signal OS muni_credit · 2026-06-06 · **illustrative — not an offer or investment advice**

4.41%

avg yield-to-worst (MSRB)

8.87%

taxable-equiv (×2.01, CA top)

β 0.036

avg tech/AI channel exposure
(state-GO $\equiv$ 1.00)

10.4 yr

avg duration-to-worst

9

sample holdings (all AI-1/AI-2)

1 · The strategy — two independent screens

Screen A — Creditworthiness [R/f(M)]. Each candidate's pledged security and covenants are verified against PRIMARY sources: R = the claim (security, coverage, lien), f = the verification method, M = the authority (EMMA official statements / continuing disclosure, CDIAC default & draw index, the detector framework). Bonds with impaired credit, recorded defaults/draws, covenant breaches, or unverifiable security are EXCLUDED. (Diligence-replication, not alpha.)

Screen B — Tech/AI income-channel insulation. An AI/tech-equity bust reaches CA muni *credit* through ONE channel: the state General Fund's capital-gains / stock-option income tax (the most tech-levered state revenue base in the U.S.). We score each bond's revenue source on that channel (β , state-GF claim $\equiv$ 1.00) and SELECT only credits structurally outside it — **property-tax GO (SB-222 statutory lien) and essential-service revenue** — whose creditworthiness does not deteriorate when tech wealth evaporates.

2 · What this IS — and what it is NOT (read first)

IS

- Tax-exempt (fed + CA) income for a high-bracket CA holder
- High credit quality, primary-source-vetted
- **Income-channel diversification:** credit insulated from the tech/AI cap-gains cycle — useful precisely for tech-comp-concentrated holders
- Intermediate-duration target (rate-risk managed)

IS NOT

- A price hedge or return anti-correlation to equities — that is a regime-conditional duration bet that **inverted –30% in 2022**
- Alpha — not return-backtested vs a CA muni ETF
- A validated predictive credit rating — β is a *structural selection screen*, not a forecast
- A default model (CA GO default risk is ~nil regardless)

3 · Sample portfolio (9 holdings, equal-weight)

Obligor	Channel / security	AI-tier	Cpn	Maturity	YTW %	YTM %	Dur-worst
CalHFA program bond	State housing finance (CalHFA)	AI-2	5.0	08/01/2055	4.60	4.85	5.9
Downey Unified School District GO	K-12 GO (property tax, SB-222 statutory lien)	AI-1	5.0	08/01/2057	4.24	4.62	7.9
Alpine County USD GO (SUB for Alpi	K-12 GO (property tax, SB-222 statutory lien)	AI-1	2.25	08/01/2049	5.00	5.05	15.9
Pomona Unified School District GO	K-12 GO (property tax, SB-222 statutory lien)	AI-1	3.0	08/01/2048	4.77	4.77	14.8
Duarte Unified School District	K-12 GO (property tax, SB-222 statutory lien)	AI-1	2.375	08/01/2046	4.90	4.90	14.5
Sanger Unified School District GO	K-12 GO (property tax, SB-222 statutory lien)	AI-1	2.834	08/01/2044	5.54	5.54	12.8
Clovis Unified School District GO	K-12 GO (property tax, SB-222 statutory lien)	AI-1	4.0	08/01/2040	3.84	3.88	10.6

Metropolitan Water District of Sou	Water / essential-service revenue	AI-1	5.0	10/01/2051	3.80	4.65	4.2
Marina Coast Water District (Rev)	Water / essential-service revenue	AI-1	4.0	06/01/2037	3.05	3.27	6.9

YTW (yield-to-worst, the conservative planning number) = lower of YTM and yield-to-call; **YTM** (yield-to-maturity) assumes no call. They match on the low-coupon GO discounts and diverge on the premium callables (Met Water / Downey / CalHFA), where $YTW < YTM$ = the call give-up. Sample drawn from the research universe to demonstrate the credit + channel screens; it currently skews long-duration. A production sleeve targets **intermediate duration (~4–7 yr)** via maturity selection — duration is a separate dial set deliberately short of the 2022 rate-shock zone.

4 • Portfolio statistics

Avg yield-to-worst (MSRB) / YTM	4.41% / 4.61% (gross, pre-fee)
Taxable-equivalent yield	8.87% on YTW (×2.01, CA ~50.3% top bracket, double-exempt)
Avg tech/AI channel β	0.036 (vs an all-state-GO book = 1.00) — ~4% of the cap-gains credit sensitivity
AI-tier distribution	8 AI-1 (Insulated) · 1 AI-2 (Low)
Duration: to-maturity / to-worst	13.7 yr / 10.4 yr (sample; production target intermediate)
Channel / sector mix	6 K-12 property-tax GO · 2 water revenue · 1 state housing finance
Credit notes	K-12 GO = unlimited ad-valorem + SB-222 statutory lien; water = essential-service rate covenant; all primary-source vetted

5 • Why "insulated" is defensible (the evidence that survived review)

- **Mechanism:** CA cap-gains+option income-tax revenue ran \$17B (2000-01) → \$5B (2002-03), −71% [LAO] — the dot-com income shock.
- **The tell:** CA State GO was cut ~6 notches (AA→BBB) in that bust, while these property-tax/essential-service sectors were untouched.
- **The strongest result:** across dot-com, GFC, COVID and 2022, **property-tax school GO and water revenue took ZERO documented rating actions in all four regimes** (CDIAC + agency record). The insulation is a multi-regime, count-based fact, not a model output.

Risk factors. (1) **Rate/duration risk** — even intermediate duration falls in a rate shock (long CA muni −10 to −30% in 2022); this is income + credit quality, *not* crash protection. (2) **Single-state (CA) concentration.** (3) **Liquidity** — some sectors trade thinly; favor benchmark issues / a fund wrapper. (4) The channel- β is a **structural classification**, not a validated predictive rating — it segregates revenue sources, it does not forecast spreads. (5) A CA muni **ETF (e.g. ~8 bp)** captures most of the core value; this strategy's marginal case is the credit screen + the income-channel tilt for tech-concentrated holders, best realized at SMA scale.

Methodology & data: EMMA RTRS (yields/terms), CDIAC DebtWatch (default-draw), LAO (cap-gains revenue), CA State Treasurer (ratings), Signal OS muni_credit (capgains_beta.py, detectors/, compute_bond_analytics.py). Yields gross of fees, as-of 2026-06-05/06. Non-claims (price hedge / alpha / validated rating / channel-specificity) reflect findings of two adversarial reviews and are stated deliberately. Illustrative; not an offer, solicitation, or investment advice.